

Since such issues are unduly sensitive to unfavorable developments, it would seem that the price would often fall too low and in that case they would afford attractive opportunities to purchase. This is undoubtedly true, but there is great need of caution in endeavoring to take advantage of these disparities. In the first place, the disfavor accorded to unseasoned securities in the market is not merely a subjective matter, due to lack of knowledge. Seasoning is usually defined as an objective quality, arising from a demonstrated ability to weather business storms. Although this definition is not entirely accurate, there is enough truth in it to justify in good part the investor's preference for seasoned issues.

More important, perhaps, is the broad distinction of size and prominence that can be drawn between seasoned and unseasoned securities. The larger companies are generally the older companies, having senior issues long familiar to the public. Hence unseasoned bonds and preferred stocks are for the most part issues of concerns of secondary importance. But we have pointed out, in our discussion of industrial investments (Chap. 7), that in this field dominant size may reasonably be considered a most desirable trait. It follows, therefore, that in this respect unseasoned issues must suffer as a class from a not inconsiderable disadvantage.

*Unseasoned Industrial Issues Rarely Deserve an Investment Rating.* The logical and practical result is that unseasoned industrial issues can very rarely deserve an investment rating, and consequently they should only be bought on an admittedly speculative basis. This requires in turn that the market price be low enough to permit of a substantial rise; e.g., the price must ordinarily be below 70.

It will be recalled that in our treatment of speculative senior issues (Chap. 26), we referred to the price sector of about 70 to 100 as the "range of subjective variation," in which an issue might properly sell because of a legitimate difference of opinion as to whether or not it was sound. It seems, however, that in the case of unseasoned industrial bonds or preferred stocks the analyst should not be attracted by a price level within this range, even though the quantitative showing be quite satisfactory. He should favor such issues only when they can be bought at a frankly speculative price.

Exception may be made to this rule when the statistical exhibit is extraordinarily strong, as perhaps in the case of the Fox Film 6% notes mentioned in the preceding chapter and described in Appendix Note 67. We